Absorbing Transition DID Results: Clean Historical Violation — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.015		0.007		-0.024*
		(0.014)		(0.008)		(0.012)
× Voluntary Rotation		-0.022***		-0.004		-0.026***
		(0.006)		(0.004)		(0.005)
Pooled	-0.024***		-0.001		-0.029***	
	(0.005)		(0.003)		(0.004)	
Mandatory − Voluntary		0.007		0.011		0.002
Difference p-value		0.645		0.224		0.859
Observations	35,763	32,988	35,763	32,988	35,763	32,988
Firms	5,049	4,930	5,049	4,930	5,049	4,930
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.028		-0.005		-0.026*
		(0.018)		(0.012)		(0.014)
× Voluntary Rotation		-0.026***		-0.004		-0.034***
		(0.008)		(0.005)		(0.007)
Pooled	-0.026***		-0.003		-0.032***	
	(0.007)		(0.004)		(0.006)	
Mandatory − Voluntary		-0.001		-0.001		0.008
Difference p-value		0.939		0.936		0.608
Observations	20,801	19,712	20,801	19,712	20,801	19,712
Firms	2,886	2,853	2,886	2,853	2,886	2,853
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.014		-0.005		-0.016
		(0.013)		(0.010)		(0.010)
× Voluntary Rotation		-0.022***		-0.006*		-0.025***
		(0.005)		(0.003)		(0.005)
Pooled	-0.025***		-0.005*		-0.028***	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.009		0.001		0.009
Difference p-value		0.541		0.912		0.436
Observations	35,095	32,273	35,095	32,273	35,095	32,273
Firms	5,244	5,117	5,244	5,117	5,244	5,117
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.010		-0.001		-0.017*
		(0.012)		(0.009)		(0.010)
× Voluntary Rotation		-0.021***		-0.005		-0.024***
		(0.005)		(0.003)		(0.005)
Pooled	-0.024***		-0.004		-0.027***	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		0.011		0.004		0.007
Difference p-value		0.392		0.671		0.555
Observations	36,606	33,770	36,606	33,770	36,606	33,770
Firms	5,244	5,138	5,244	5,138	5,244	5,138
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.